Modeling sustainability goals of IKEA

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LLM Statements

For this project we used LLM for the following parts:

- No full paragraphs written by an LLM.

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1 Introduction

This report will cover the sustainability goals of IKEA. These goals will be evaluated through iStar 2.0 models. These models represent the goals IKEA has and the tasks that need to be executed to reach them. The report will start with a general overview of IKEA's sustainability goals, followed by an in-depth analysis of 3 sustainability goals: Healthy work environment, ethical restocking and be environmentally sustainable by 2030. These goals are part of the Social, Governance and Environmental ESG list, respectively. This list was published in the report that followed from Assignment 1. We chose these goals since IKEA represent itself as a great employer ("Good reasons to become one of our co-workers", n.d.) and an organisation that focuses on its environmental impact ("Werken voor het klimaat en milieu", n.d.). For this assignment, we were interested in what tasks are needed to execute to fulfil those promises.

2 Investigating the sustainability goals and solutions

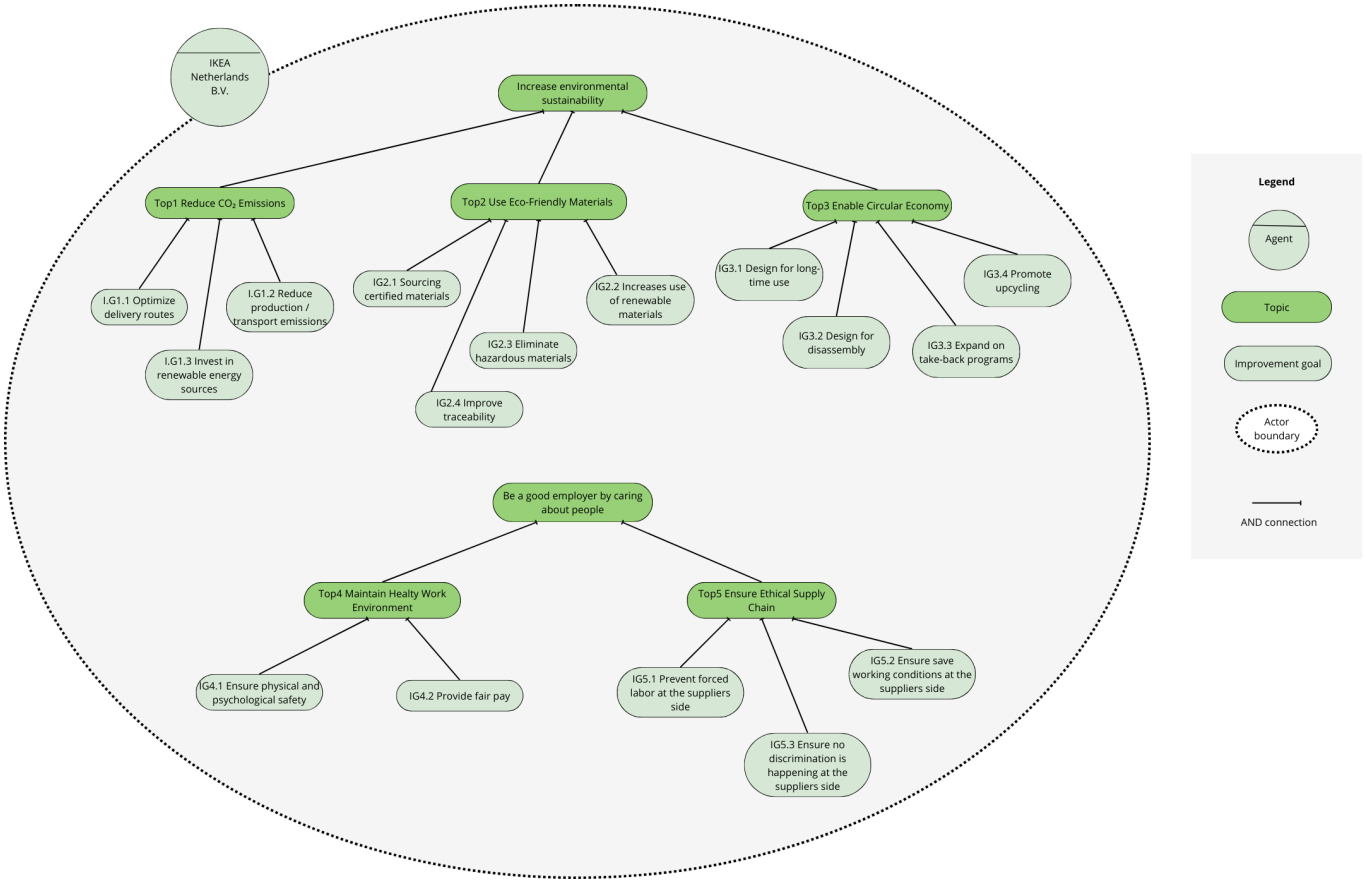

Figure 1: Sustainability goals of IKEA

As IKEA is known for being all for the planet and people, they state it themselves (IKEA, 2026). This is why the choice was made to create the model, as seen in figure 1, to model reduce CO2 emissions, use eco-friendly materials, enable a circular economy, maintain a healthy work environment and ensure ethical supply chain. First, the reduction of CO2 emissions, this can be reduced in different ways, such as optimised delivery routes and reduction in production/transport emissions through better planning or shorter cycle time of products. And investing in renewable energy sources, which IKEA is already doing quite heavily (Inter IKEA Newsroom, 2019).

The use of eco-friendly materials cannot be left out, of course; it is one of the biggest goals of IKEA (IKEA, n.d.-a). The best way to do this is through the sourcing of (renewable) materials and through improving traceability of certain materials. This means that a certain material, let's say a wooden plank, could be traced back to where a tree once stood. This means that it is easier for IKEA to check if the supplier of this wooden plank adheres to the contract that IKEA has concluded with the supplier. Once IKEA determines that the supplier is not being as ecological as they should be, they can stop buying from said supplier.

IKEA also encourages a circular economy, which means that products should not simply be sold and disposed of but rather designed and managed in a way that they remain in use for as long as possible (IKEA, n.d.-d). This can be achieved by designing products for long-time use, meaning higher durability, timeless design and replaceable components. In addition, products can be designed for disassembly so that at the end of their life cycle, materials can be separated more easily and reintroduced into the production process. Expanding take-back programmes is another practical step, where customers can return used furniture so that it can be refurbished, resold or recycled. Furthermore, promoting upcycling initiatives enables customers to give products a second life, instead of discarding them prematurely.

Another essential aspect is maintaining a healthy work environment (Inter IKEA Systems B.V., 2025). This goes beyond basic compliance and requires active measures to ensure both physical and psychological safety for employees. Safe working conditions in stores, warehouses and production facilities are fundamental to prevent injuries and long-term health issues. At the same time, attention must be given to workload, stress levels and overall well-being. Providing fair pay is equally important, as adequate compensation contributes to employee satisfaction, stability and ethical business conduct. Together, these elements create a work environment that aligns with IKEA's stated commitment to people.

Lastly, ensuring an ethical supply chain is critical in a globalised production network. IKEA works with a large number of suppliers worldwide, which increases the complexity of monitoring compliance. Preventing forced labour is a primary requirement (IKEA, n.d.-c) and must be strictly controlled through audits and contractual obligations. In addition, suppliers are expected to guarantee a safe working environment for their employees, including proper safety measures and reasonable working hours. It is also necessary to ensure that no discrimination occurs at the supplier level, whether based on gender, ethnicity, religion or other characteristics. By enforcing these standards consistently, IKEA can align its supply chain practices with its overall sustainability and social responsibility ambitions.

3 Candidate solutions

3.1 Healthy work environment

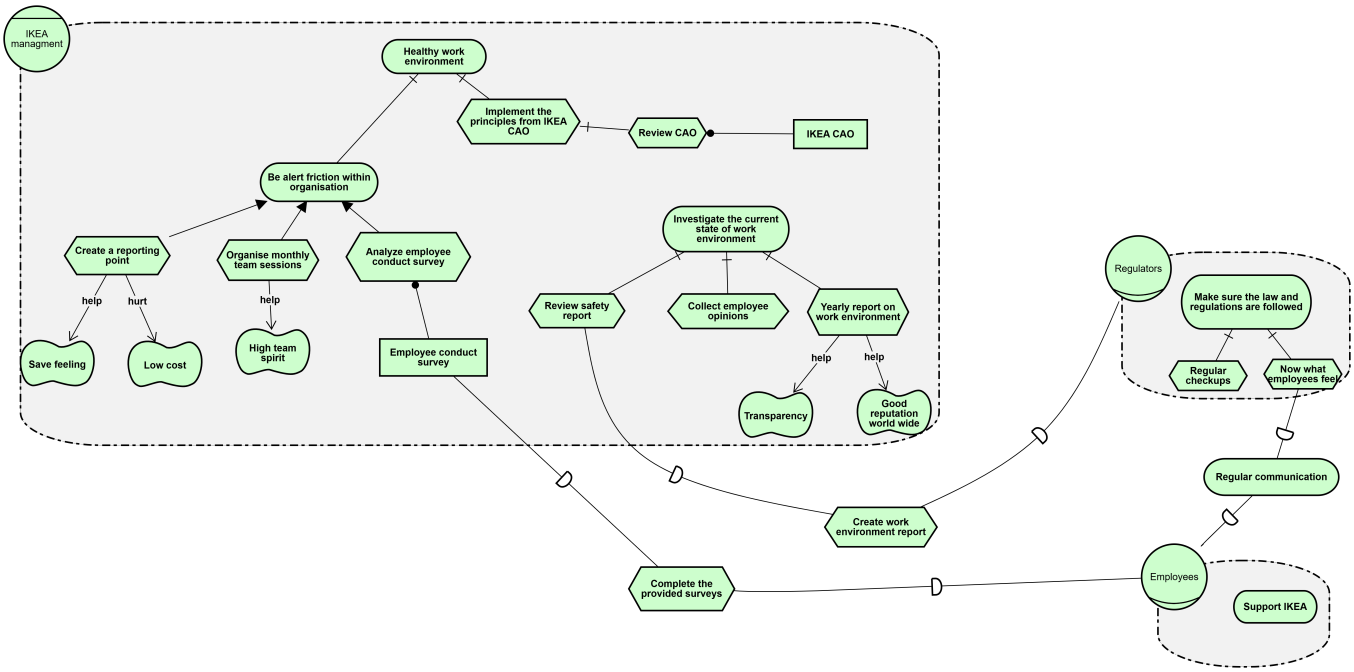

Figure 2: Candidate model for a healthy work environment

This model (figure 2) is a model to show how a healthy working environment is achieved through implementing subgoals and tasks. First of all, IKEA needs to provide the employees with all the conditions stated in the CAO. This CAO is a good source of information for the work environment because it is made by the workers, the employer and the workers' union (Werknemersvereniging IKEA, 2025). The most important things are mentioned in this CAO such as the personal benefits and how people can grow in the company (IKEA, n.d.-b). The main goal has a sub goal which is being alert for friction within the company this can be done with the tasks: because it is made by the workers, the employer and the workers union (Werknemersvereniging IKEA, 2025). IKEA also has to be alert for possible friction within the organisation. This can be done by:

(1) Creating a reporting point where employees can (anonymously) address issues. This contributes to the fact that employees feel heard and therefore safe at work. However, implementing such a reporting point will have high costs involved, especially when every request is taken seriously.
(2) The second task is organising monthly team meetings. During these team meetings possible frictions can be discussed while also increasing the team spirit which is a prevention against friction (Vrije Universiteit Amsterdam, 2012).
(3) The third task is analysing the employee conduct survey. This survey is issued to all employees and is meant to know the current state of mind of the organisation. This survey may address subjects that were not yet discovered at the reporting point because of the low entry level of filling out a survey.

The second goal mentioned to accomplish a healthy work environment is to investigate the current state of the work environment. This goal is divided into tasks such as collecting employee opinions, which is about specific moments and teams. That is why it distinguishes itself from the survey, which is organisation wide. By publishing an annual report, the work environment transparency is improved, and

so is the reputation of IKEA. The outside world can now also check possible problems within the organisation of IKEA, which makes the employees feel heard even more. Lastly, a safety report should be created by third-party regulators. This is to make sure that independent sources conclude the same as IKEA. To write the safety report, the regulators should have access to the employees.

3.2 Be environmentlly sustainable by 2030

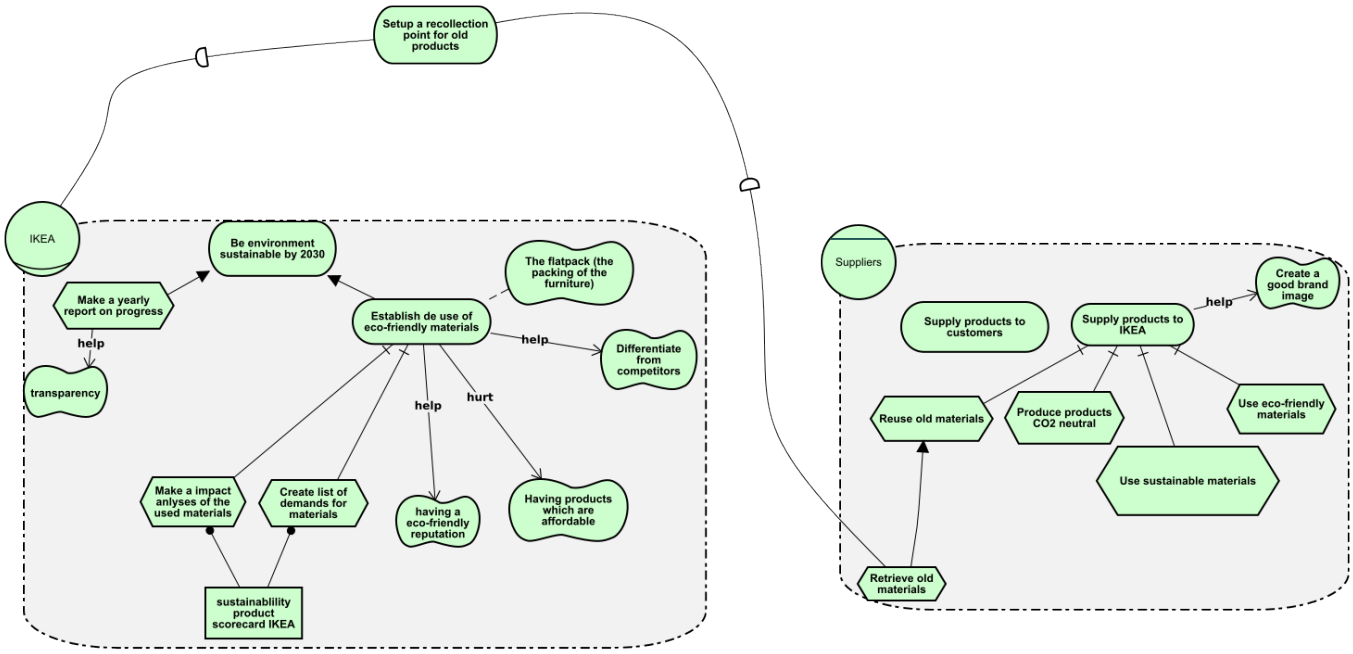

Figure 3: be environmentlly sustainable by 2030

The first action to take to achieve the goal of being environmentally sustainable by 2030 is to use eco-friendly materials. Since IKEA has external suppliers ("Let's grow together", n.d.), it is important to establish good communication with the suppliers. These suppliers should make sure that their materials are eco-friendly, meaning the materials aren't retrieved from mass tree cutting or with large amounts of water. Suppliers also have to make sure to create products CO2 neutral and reuse old materials as much as possible. IKEA should provide these old materials through their recycling programme.

The first action is to establish the use of eco-friendly materials; this task can be done by first making an impact analysis on the currently used materials and second creating a list of the demands for eco-friendly materials for those tasks. The IKEA sustainability scorecard can be used. By implementing those materials, IKEA will strengthen their quality of differentiation from competitors, and its eco-friendly reputation will also be strengthened. On the other hand, the affordable products will be more expensive.

The second strategy is the supply of products to IKEA. This will be done in multiple ways; first, this includes the reuse of old materials. This will be done by retrieving the old materials at a collection point which needs to be set up. A second task is to produce CO2-neutral products, the third is to use sustainable materials and lastly the use of eco-friendly materials. This all will be measured yearly by issuing an annual report; this will help with transparency (Werknemersvereniging IKEA, 2025).

3.3 Ethical restocking

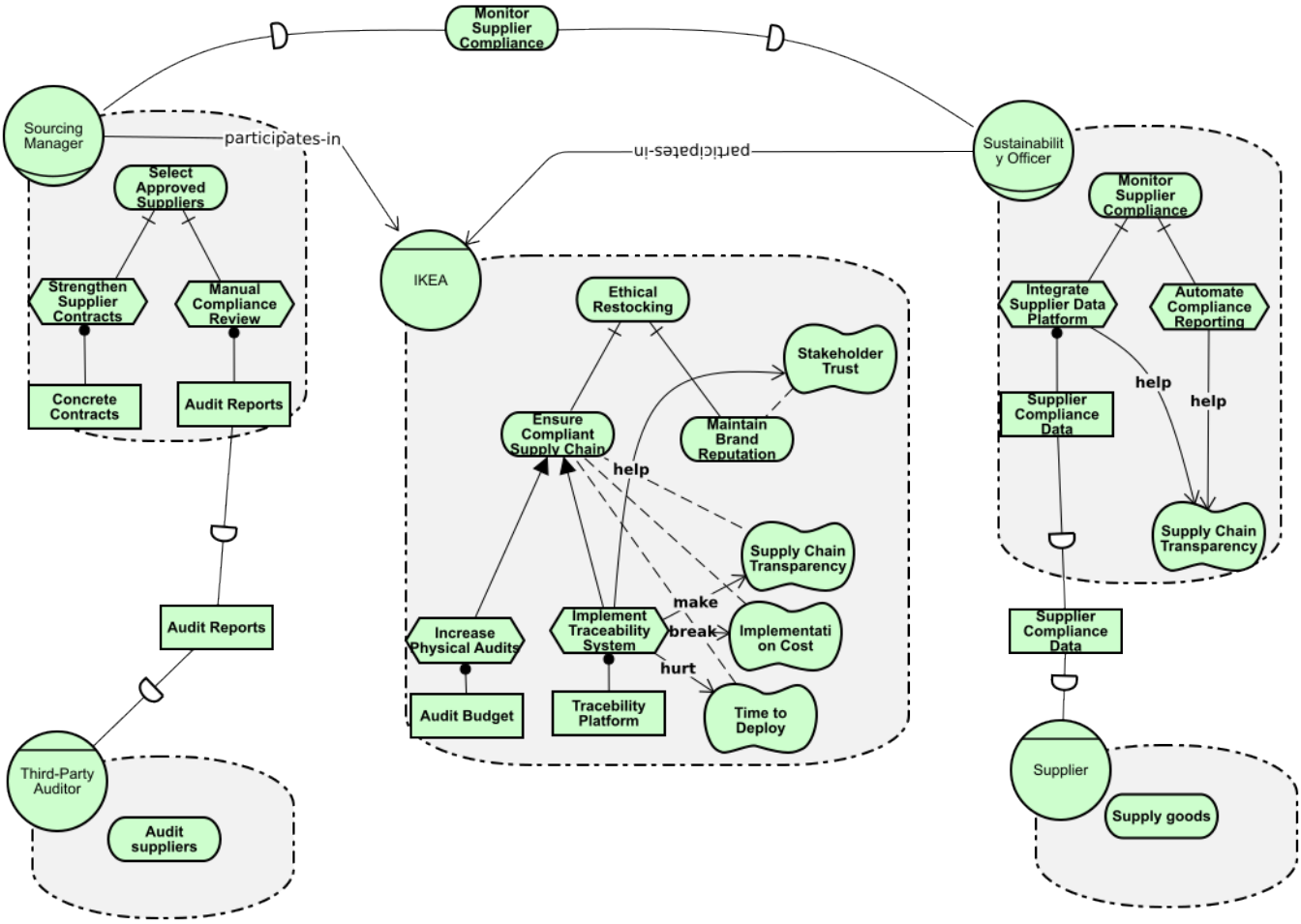

Figure 4: Candidate model for ethical restocking

As depicted in this model candidate about ethical restocking, as shown in figure 4, is showing what tasks, resources and goals are influenced by the process. As is visible, there are a lot of agents (e.g., sourcing manager, third-party auditor, etc.) that are needed for a supply chain.

As IKEA is all for ethics, and "Caring for people and planet" there is a candidate model about ethical restocking. It is known that IKEA is al about and "Caring for people and planet" (IKEA, 2026). It shows what agents are connected to IKEA regarding their inventory and restocking.

The agents are all parts of a bigger mechanism, thus using ethical restocking is a really logical improvement goal. The sourcing manager (or alternatively procurement manager) is needed for sourcing, negotiating and purchasing goods or services from suppliers. They check if the goods are of a high enough quality. For this they need to select the correct suppliers and create contracts with them. The "correct" suppliers are chosen based on audits from third parties. They investigate if the supplier satisfies the supplier expectations of IKEA. All this data is combined to select approved suppliers.

On the other side of the model, the supplier and sustainability officer are shown. After a supplier is approved, IKEA will buy their goods, and they will be checked by the sustainability officer. They monitor supplier compliance through their supplier data platform. This platform gives transparency about their suppliers and if they (still) meet their contractual obligations/sustainability goals.

Together the sourcing manager and sustainability officer participate in IKEA. IKEA ensures ethical restocking through the data from the sourcing manager and sustainability officer. And because the transparency of the supplier platform gives stakeholders more trust in the organisation, the brand reputation is also maintained. This all combined makes IKEA able to ensure ethical restocking and "Care for people and planet" (IKEA, 2026) even better.

4 Conclusion

IKEA's sustainability ambitions are enormous; they depend on multiple tasks and goals which together create the direction IKEA wants to move in. IKEA has company goals to improve employee health and working environments and also has ambitions to improve the planet for the people that live on it. As stated before, IKEA wants to be CO2 neutral by 2030 and wants to accomplish that by continuous monitoring of suppliers, anonymous reporting channels and safety audits. CO-neutral production and stricter sourcing criteria strengthen IKEA's reputation and competitive differentiation, yet they may increase costs and put pressure on affordability. Ethical restocking further demonstrates the complexity of governing a global supply chain, where sourcing managers, sustainability officers and third-party auditors must collaborate through audits, contracts and data platforms to ensure compliance and maintain stakeholder trust.

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